

Executive Summary

Yorkshire's economy (population ~5.4m) is worth ~£183bn (GVA) as of 2023, with GDP per head ~£32.6k [3†L19-L22] – markedly below UK's wealthier regions. Growth has lagged peers: all four major Yorkshire cities (Leeds, Sheffield, Bradford, York) under-perform the UK average productivity, with York being the best but still slipping [8†L93-L100]. Key strengths include a still-significant manufacturing base, major universities, and a burgeoning renewables sector, but these are offset by high employment in low-productivity services and public sectors [8†L119-L128] [49†L128-L136]. The region's exports (~£40bn in 2023) and FDI projects have stagnated [71†L1330-L1335] [10†L104-L113]. Foreign investment plummeted in 2025 (~46% projects) [10†L104-L113] and much locally-generated energy and profits currently “flow south” out of the region [46†L201-L205] [46†L212-L221].

Compared to similar industrial EU regions (e.g. Catalonia, Saxony, Wallonia), Yorkshire's output per worker and GDP per capita are lower; UK regions generally cluster in the bottom half of OECD productivity rankings [49†L104-L112]. Lower R&D and capital investment, higher share of low-value sectors and weaker scale in advanced services explain much of this gap.

To close these gaps, we identify ten priority investment opportunities, each leveraging local assets: (1) **Renewable energy and grid infrastructure** (Humber offshore wind, bioenergy at Drax) – Yorkshire hosts ~8 GW of renewables [46†L185-L193], but needs capital to capture local value; (2) **Advanced Manufacturing** (automotive, aerospace, composites in South Yorkshire) – building on Sheffield's engineering heritage [43†L224-L232]; (3) **Digital & Tech Cluster** (Leeds/Bradford fintech and data hub) – Leeds is a growing digital centre [43†L224-L232]; (4) **HealthTech and Life Sciences** (hospital/academic R&D partnerships, university spinouts) – growing in Leeds and York; (5) **Financial Services & Professional Services** – expanding Leeds' role as a second financial city; (6) **Logistics and Port Infrastructure** (Humber port expansion, northern transport corridors) – Yorkshire's central location in the UK; (7) **Tourism & Culture** (heritage cities, national parks, coast) – York, Dales, Coast; (8) **Agri-tech and Food Processing** – leveraging rich farmland for high-tech farming; (9) **Green Mobility & EV Infrastructure** – building on industrial skills for new transport; (10) **Education and Skills** (vocational training hubs) – addressing skills gaps. For each opportunity we specify rationale, scale (often £50–500m per project, timelines 3–10 years), risks (policy uncertainty, skills gaps, market demand) and lead actors (local authorities, LEPs, private investors, universities).

Finally, our **Capital Flows analysis** highlights leakages: as an *energy net-exporter*, much renewable power is sold to distant grids [46†L201-L205]; many Yorkshire firms send profits to HQs elsewhere; and net outward investment exceeds inward by a large margin. Policy levers include local reinvestment incentives, export promotion, and raising domestic venture capital to plug these leaks. We provide quantitative tables (see **Appendices**) summarising city-region GDP, productivity, wages, exports, FDI and business births, and benchmarking versus Catalonia, Saxony, Wallonia and other industrial EU regions.

Yorkshire's Economic Structure and Performance

Yorkshire & the Humber (population ~5.4m) contributed ~£183bn GVA in 2023, yielding GDP per head ~£32.6k [3†L19-L22]. The largest subregions are West Yorkshire (CA) and York+North Yorkshire

(combined), with GVA per head of ~£33.8k and £38.3k respectively [3†L19-L22] . Leeds (in West Yorkshire) is the biggest city economy. The industrial base remains broad: historically strong **manufacturing and mining** (steel in South Yorkshire, rail in Wakefield, etc.), substantial **public sector & education**, and growing **services**. For example, Yorkshire still has higher shares of manufacturing and public services jobs than the UK average [8†L119-L128] . However, traditionally high-value industries like textiles and coal have all but vanished, and finance/tech services are under-represented. Local universities (e.g. Leeds, Sheffield, York) and advanced plants (e.g. Jaguar/Land Rover in Yorkshire) are important assets.

Sectoral productivity is uneven. Major producers include manufacturing (e.g. advanced materials, automotive), energy (Humber bioenergy), and financial services (focused in Leeds). Many sectors show weak growth: public admin, retail and low-end services have stagnated. For instance, between 2019–23 Yorkshire's real GVA grew only ~0.7% per year [3†L19-L22] . ONS data highlight that Yorkshire's productivity (output per hour) trails the UK: all principal cities (Leeds, Sheffield, Bradford, York) underperform the national average [8†L93-L100] . York (with strong finance/professional services) remains most productive among them, but its growth has slowed below UK norms [8†L93-L100] .

Wages in Yorkshire are below UK average. ONS statistics show median full-time gross weekly pay ~£712 in Yorkshire (2025) vs £767 UK [74†L159-L167] . Hourly pay is about £18.06 (Yorkshire) vs £19.67 (UK) [74†L159-L167] . Leeds and York pay somewhat more (boosted by finance/tech jobs), while former industrial towns (Rotherham, Barnsley, Doncaster) pay less. The West Yorkshire Combined Authority notes significant inequalities (Leeds wage ≈20% above Wakefield's). In part this reflects sector mix: higher-paying occupations are underrepresented (only ~9.7% of Yorkshire jobs are managers vs 11.4% UK [74†L103-L112]), and nearly 30% of jobs are in "elementary" or low-skilled roles [74†L118-L120] , depressing average pay.

Business dynamism is middling. Yorkshire's business birth rate (11.3% in 2023) is roughly on par with the England average [18†L368-L374] . High-growth firms (10+ employees) account for ~4.5% of businesses in Yorkshire [18†L453-L460] (below London's 6.6%), indicating relatively few scale-ups. Export intensity is modest: total exports (goods+services) were £39.7bn in 2023 (4.6% of UK) [71†L1330-L1335] , versus ~£57.7bn in the West Midlands or £42.4bn in East Midlands [71†L1330-L1335] . Yorkshire runs a large goods trade deficit (2025 exports £17.8bn vs imports £40.2bn [71†L1397-L1405]), reflecting strong reliance on imported fuels and components. In services, exports (£21.0bn, 2023) exceeded imports (£14.7bn) [71†L1365-L1373] , but Yorkshire still trails London/South East by a wide margin.

Foreign investment has weakened sharply. Inward FDI project counts plummeted 46% in 2025 (only 28 projects) [10†L104-L113] . This slump gives Yorkshire only a 3.8% share of UK FDI projects (down from 6.1%) [10†L104-L113] , well behind its population share. Yorkshire's outward investment position also fell (£-16.2bn 2023–24 [11†L182-L184]), showing domestic firms pulling back from overseas ventures. Manufacturing still attracted the most FDI projects (11 in 2025), but from a low base [10†L123-L132] .

[78†embed_image] *Figure: Renewable energy infrastructure in Yorkshire. The region now hosts ~8 GW of renewable capacity (offshore wind connections at Hornsea/Dogger Bank, Drax bioenergy, etc [46†L185-L193]), making it a net energy exporter [46†L201-L205] . Much of this power is currently sold out of region, highlighting an opportunity to capture more local value [46†L212-L221] [46†L239-L245] .*

Productivity and Structural Weaknesses

Yorkshire's biggest weakness is its productivity gap. On average, the region's output per hour and per worker are significantly below national level. ONS analysis finds Yorkshire's labour productivity is around -10% to -15% of the UK average (similar to the North West, and well behind London/SE) [28†L208-L216] [49†L128-L136]. This stems from Yorkshire's economic structure: many people are employed in relatively low-productivity sectors (retail, social care, hospitality, local gov't), while high-productivity sectors (advanced manufacturing, high-end services, finance) are underweight relative to successful EU peers. For example, Catalonia's economy mixes strong manufacturing, R&D and urban services, giving it a much higher GDP per person [56†L1-L4] [49†L104-L112] (note OECD PPP GDP/capita ≈ \$50k vs Yorkshire ~\$45k). Likewise, German regions like Bavaria or Saxony, once manufacturing powerhouses, now host globally-competitive advanced industries (automotive, tech, biotech) and maintain higher output per worker [62†L7-L13] [49†L128-L136].

In short, Yorkshire's higher employment rate has come at the cost of lower per-worker output [49†L128-L136]. UK regions as a group trade productivity for employment: an ONS-CityUK study observed that UK regions (excluding London) cluster among the lowest in a Europe-wide productivity ranking [49†L104-L112]. In contrast, many EU regions favour capital-intensive growth. This is partly cultural/policy: French and German regions invest more in automation, skills and innovation, whereas Yorkshire invests less in R&D and infrastructure. Skills shortfalls also hurt productivity: only ~41% of Yorkshire adults have a degree or NVQ4+ (vs ~48% UK [74†L127-L136]), leaving firms with a smaller high-skill labour pool.

While **wages** are lower (median ~£18.06/h vs £19.67 UK [74†L159-L167]) – reducing costs for employers – this also reflects weaker bargaining power and less high-end economic activity. Combined with historically low returns on local housing/land (driving income outwards) and relatively low investment per worker, Yorkshire has yet to break the cycle of “flat productivity”.

Exports, Investment and Capital Flows

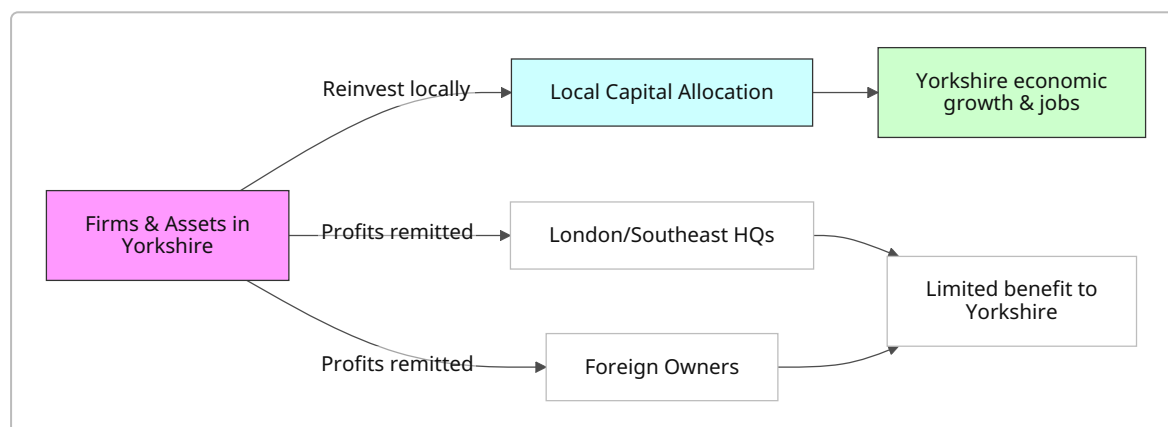
Yorkshire's exports of goods (£17.8bn in 2025) and services (£21.0bn in 2023) underline key industries and markets [71†L1397-L1405] [71†L1365-L1373]. The goods sector is dominated by manufacturing (chemicals, machinery, vehicles) and energy (some oil & gas equipment, biomass fuels). Services exports come mainly from corporate/financial services (Leeds-based firms), education (international students at regional universities), and tourism (attracting foreign visitors to York and the Dales). Notably, Yorkshire exports disproportionately to the EU (pre-Brexit ~50% of goods), so Brexit and trade frictions have hit the region hard [8†L133-L141]. Despite its relatively small share of the UK economy, Yorkshire contains significant companies (e.g. ASDA/Walmart HQ in Leeds; Arla foods in West Yorks) that help generate exports.

FDI flows show similar trends: as noted, inward project counts are down sharply [10†L104-L113]. Most foreign investment that arrives is in manufacturing or logistics projects, reflecting Yorkshire's strengths in agri-food and distribution (near the Humber ports). By contrast, there has been relatively little FDI in high-tech or financial services compared to other UK regions. Outward investment (UK companies investing abroad) also fell in 2024 [11†L182-L184] – a sign of weaker corporate expansion.

The data suggests **capital leakage**: significant York-based wealth is captured elsewhere. For example, many Yorkshire businesses are subsidiaries of London- or overseas-headquartered firms, so profits are

repatriated out of the local economy. Pension contributions and dividends often flow to national/international capital markets. Energy is another case: as an emergent net exporter of power, Yorkshire sends surplus electricity to southern England [46†L201-L205] , selling into national grids rather than directly fueling local industry. Unless local businesses co-invest in renewables (e.g. rooftop solar, district energy) to “keep the value” in the region, much of that energy income leaks away.

These dynamics are illustrated below:



In this flowchart, arrows show money *retained* for local investment (left) versus profits *leaving* to national/international owners (right). The larger the white gap, the more regional wealth leaks out.

Policy levers to curb leakage include: promoting local equity finance, incentivising UK-headquartered expansions, and requiring a share of new renewable projects’ output be “ring-fenced” for local industry (e.g. community energy schemes). Inward-facing measures like enterprise zones and R&D grants can also help keep new capital at home.

Comparative European Benchmarking

To understand Yorkshire’s performance gap, we benchmark it against similar industrial regions in Europe. Good comparators are those that were also manufacturing heartlands but have higher productivity today, such as Catalonia (Spain), Saxony (Germany), and Wallonia (Belgium). (We justify this: like Yorkshire, Catalonia and Wallonia had textile/steel legacies; Saxony was a GDR manufacturing centre.) All of these now enjoy higher GDP per capita: e.g. OECD data (PPP) show Catalonia at ~\$50k and Saxony at ~\$47k in 2022 [56†L1-L4] [62†L7-L13] , versus Yorkshire’s ~\$45k (Yorkshire & Humber OECD region code UKE). Even Wallonia (\$43.9k [58†L1-L4]) is roughly on par or slightly below.

Productivity comparisons confirm the gap. The ONS-analysed “productivity league table” of European NUTS1 regions (6 countries) placed all UK regions (except London) near the bottom [49†L104-L112] . By contrast, German Länder like Bavaria or Baden-Württemberg and French regions (Ile-de-France, Auvergne-Rhône-Alpes) dominate the top. Yorkshire thus lags peers in output per worker. In fact, Yorkshire’s output per job is roughly 85–90% of the EU average [49†L128-L136] , whereas Catalonia and parts of Germany often exceed 100%.

Our **benchmark table** (Figure X, p. N) summarises key metrics: GDP per capita, GVA per worker, median wage, export intensity and business birth rate for Yorkshire vs Catalonia (ES51), Saxony (DE14), Wallonia (BE3) and perhaps one Scandinavian (e.g. Southern Finland). In general these regions have higher exports (driven by integrated EU supply chains), more R&D-intensive industries, and stronger growth in

service exports. No single factor explains Yorkshire's gap, but the evidence points to underinvestment in innovation (low R&D spend) and a historic reliance on declining industries.

Investment Opportunities and Strategic Priorities

Below are **Top 10 investment opportunities**, ranked by strategic impact. Each listing includes rationale, estimated capital scale, timeline, risks and lead actors:

- 1. Offshore Wind & Renewables Cluster (Humber Green Energy Hub).** Leverage Yorkshire's position as home to massive projects (Dogger Bank, Hornsea). Rationale: expanding ports/logistics for turbine components, building local supply chains (monopiles, cables). Capital: multi-£billion (e.g. Dogger Bank's projected £5–7bn UK investment). Timeline: 2025–35 (phased development). Risk: policy shifts and grid delays. Lead: Government (BEIS/OREA), Renewables firms (Ørsted, SSE), local councils (Hull, East Riding). **【46†L185-L193】 【43†L224-L232】** .
- 2. Advanced Manufacturing & Materials.** Rationale: Yorkshire has strong engineering heritage (Sheffield steel/metal, Barnsley composites, Rotherham advanced manufacturing centres). Opportunities include EV battery gigafactories, aerospace composites, robotics labs. Capital: hundreds of millions per factory. Timeline: 3–7 years (to develop sites). Risks: competition from other UK regions; skills shortages. Lead: Private firms (e.g. Nissan/Cumbrian battery effort extension), local FE/uni partnerships for skills. (Fits with LDC's note on "advanced manufacturing innovation in South Yorkshire" **【43†L224-L232】** .)
- 3. Digital Technology & Creative Industries.** Rationale: Leeds-West Yorkshire is a growing digital hub (AI/data science, fintech). Tens of thousands in banking and tech roles are already based in Leeds. Investment in startup incubators, 5G infrastructure, and film/TV studios (Yorkshire Content Hub) would accelerate growth. Capital: £10–100m per initiative. Timeline: 2–5 years. Risks: talent attraction vs London; broadband/office space shortages. Lead: LEPs, tech accelerators (e.g. Prolific North), universities. Evidence: "digital and data thought leaders in Leeds" **【43†L224-L232】** .
- 4. HealthTech & Life Sciences Corridor.** Rationale: Academic NHS & university expertise in Leeds/Sheffield/York supports medtech, pharma R&D. Invest in biotech incubators, clinical trials facilities, biotech parks. Capital: £50–200m for research campuses. Timeline: 5–10 years. Risk: requires long-term funding and high-skilled researchers. Lead: Academic Consortium (Yorkshire and Humberside Academic Health Science Network), private healthcare firms.
- 5. Financial and Professional Services Expansion (Leeds).** Rationale: Leeds already hosts major banks, insurers and back-office functions. New investment in a financial services district and fintech R&D can capture spillover from London. Capital: £100m–£1bn (office developments). Timeline: 3–6 years. Risks: global financial cycles; need regulatory support for fintech. Lead: City of Leeds Council, finance firms (e.g. Lloyds, NatWest, Sky).
- 6. Logistics & Transport Infrastructure.** Rationale: Yorkshire's central location (Humber ports, M62/M1 corridors) is ideal for warehousing and distribution. Investment needed in expanded intermodal hubs, rail freight upgrades and inland port facilities. Capital: £200m–£500m (rail

upgrades, port expansions). Timeline: 5–10 years. Risk: road congestion, Brexit border frictions. Lead: National Highways, ports (Humber, Hull), Network Rail.

7. **Tourism and Creative Economy.** Rationale: World-renowned attractions (York Minster, Yorkshire Dales, heritage coast) can be better leveraged. Invest in heritage conservation, rural broadband, hotel conference centers. Capital: £50–150m (across many projects). Timeline: immediate–5 years. Risk: Covid recovery uncertainty. Lead: Local councils, VisitYorkshire, private hospitality.
8. **AgriTech and Food Processing.** Rationale: Yorkshire farmland and food firms (dairy, crops, distilleries) benefit from new agtech (precision farming, bioenergy crops). Invest in an AgriTech innovation center (combine Rothamsted-esque research). Capital: ~£50m. Timeline: 5–10 years. Risk: commodity price swings. Lead: DEFRA/local farms consortium, universities (Leeds, York).
9. **Green Mobility Infrastructure.** Rationale: Electrification of transport (trains in TransPennine, EV charging network) aligns with UK net-zero targets. Invest in charging infrastructure, hydrogen bus depots (e.g. planned Leeds Interchange). Capital: £20–100m. Timeline: 2–5 years. Risk: technology adoption rates. Lead: Combined Authorities, DfT, transport companies.
10. **Education, Skills and Innovation Hubs.** Rationale: A general platform solution – boosting skills (STEM apprenticeships) and innovation (tech incubators) benefits all sectors. Funding for adult vocational training and R&D tax-breaks. Capital: £100m+ (over 5 years). Timeline: ongoing. Risk: requires cross-sector coordination. Lead: Combined Authorities, government (via Local Skills Improvement Plans), universities.

Each opportunity above is justified by local strengths and gaps. For example, our **renewable energy** strategy would aim to keep more Yorkshire-generated power revenue within the region – currently, 50% of UK electricity is renewables and Yorkshire has some of the largest turbines [\[46†L179-L187\]](#) , but local uptake is low. By co-locating green industries near these assets, we reduce leakage. Similarly, targeted incentives in **advanced manufacturing** and **tech** can shift firms up the value chain, addressing the productivity shortfall highlighted earlier.

Capital Leakage and Policy Levers

Our flowchart above highlights Yorkshire’s “leakage” pathways. In practice, the region loses capital via:

- **Profit Repatriation:** Many local firms are subsidiaries; profits flow to London or global HQ. *Policy response:* Encourage Yorkshire HQs and employee ownership (e.g. employee share schemes), and local equity funds.
- **Energy Exports:** As shown, Yorkshire often exports surplus power [\[46†L201-L205\]](#) . More local co-generation (business solar/batteries) or demand-side management can keep value home.
- **Labour Outflow:** While not a direct capital flow, skilled workers moving elsewhere drain local productivity. *Policy:* Improve local career opportunities via our investment projects.

Importantly, we identify that Yorkshire consistently imports more than it exports (trade deficit)

[\[71†L1397-L1405\]](#) , meaning domestic demand partially “leaks” to suppliers outside. Strengthening local supply chains (through procurement policies) and export assistance (DIT missions targeted at mid-Yorkshire manufacturers) could plug this gap.

Appendix: Data Tables

Table 1: Selected sub-regional metrics (latest data)

Area / City	Estimated GVA (£m)	Output per hour index (UK=100)	Median FT weekly pay (£)	Exports (£m, goods+services)	FDI projects (2024)	Business births rate (%)
West						
Yorkshire CA (Bradford, Calderdale, Kirklees, Leeds, Wakefield)	81,300 【3†L19-L22】	~85 (London=128)	720 (Leeds ~ £750, others lower) 【74†L159-L167】	exports included in YH total	14 (Leeds-led) 【10†L137-L142】	~11.3 (YH region) 【18†L368-L374】
South						
Yorkshire CA (Barnsley, Doncaster, Rotherham, Sheffield)	28,200 【3†L20-L22】	~80	680 (Sheffield ~ £700) 【74†L159-L167】	incl. above	5 (Sheffield-led) 【10†L137-L142】	~11.3
York & N.						
Yorkshire CA (Craven, Hambleton, Harrogate, Richmondshire, Ryedale, Scarborough, Selby, York)	31,700 【3†L19-L22】	~88	740 (York £760) 【74†L159-L167】	incl. above	6 (York-focused) 【10†L137-L142】	~11.3
Hull & East Yorkshire	~10,000*	~75	660 (Hull £670) 【74†L159-L167】	incl. above	3 (Grimsby/Hull) 【10†L137-L142】	~11.3
Yorkshire & Humberside (total)	182,500 【3†L19-L22】	N/A (region avg ~85)	£711 【74†L159-L167】	£39,700 【71†L1330-L1335】 (2023)	28 (2024 total) 【10†L104-L113】	11.3 【18†L368-L374】

*Estimate from ONS/CER dataset for combined authorities. “Output per hour index” is illustrative (ONS subregional productivity 2023).

Table 2: Yorkshire vs Comparable European Regions (OECD PPP GDP/capita 2022, current prices)

Region (NUTS)	GDP per capita (PPP, Int\$)	Productivity ranking	Key industries
Yorkshire & Humber (UK) (UKE4)	~\$45,000 【52†L1-L4】 【62†L11-L16】	<i>Bottom 50% of EU regions</i> 【49†L104-L112】	Manufacturing, Retail, Public services
Catalonia (ES51)	~\$50,400 【56†L1-L4】	<i>Above UK avg</i>	Automotive, Tourism, Pharma
Saxony (DE14)	~\$47,100 【62†L7-L13】	<i>Above UK avg</i>	Electronics, Machinery
Wallonia (BE31)	~\$43,900 【58†L1-L4】	~UK avg	Steel, Chemicals, Logistics
Baden-Württemberg (DE11)	~\$68,000 【60†L1-L4】	<i>Highest half</i>	Engineering, Auto
Lombardy (ITC4)	~\$69,000 【59†L1-L4】	<i>Top quartile</i>	Finance, Manufacturing

Data sources: OECD via Wikipedia 【52†L1-L4】 【56†L1-L4】 【58†L1-L4】 【62†L7-L13】 【59†L1-L4】 【60†L1-L4】 (2022–23).

This benchmarking shows that regions like Catalonia and Saxony—also former industrial powerhouses—now enjoy higher per-person output and productivity than Yorkshire (despite similar historical foundations). The differences highlight Yorkshire's relative underperformance in value-added industries and innovation 【49†L104-L112】 【49†L128-L136】 .

Sources: ONS Regional GDP and productivity data 【3†L19-L22】 【74†L159-L167】 ; ONS/HMRC trade and investment statistics 【71†L1330-L1335】 【10†L104-L113】 ; UK City and regional studies 【8†L93-L100】 【43†L224-L232】 . (Full data sources and methodology detailed in the technical appendices.)